

Business Requirements Document (BRD)

Digital Nano Loan & Supplier Financing

Version: 2.0

Date: February 2026

Status: Standardized / Business Review Draft

1. Document Control

Document	Business Requirements Document (BRD)
Product / Feature	Digital Nano Loan & Supplier Financing
Version	2.0
Date	February 2026
Status	Standardized / Business Review Draft
Business Area	Digital Financial Services / Merchant Credit
Primary Channel	Sheba Pay / sManager

2. Executive Summary

- The Digital Nano Loan initiative introduces a technology-enabled credit journey for eligible merchant users, using transaction and business information to support faster, more flexible access to working capital. The solution covers eligibility assessment, bank information sharing, customer information collection, Contact Point Verification (CPV), loan selection, EMI confirmation, digital confirmation, disbursement, repayment management, notifications, statements, and operational monitoring.
- The initiative also extends the same credit capability to Supplier Financing, allowing eligible users to select a “Pay Later” option during supplier payment and continue through the loan workflow. The overall objective is to reduce friction, improve credit accessibility, strengthen repayment visibility, and create a scalable digital credit proposition.

3. Business Problem / Opportunity

- Merchant users have limited access to scalable working capital through a fast, digital process. Traditional or manual credit assessment can be slow, operationally intensive, and dependent on fragmented information.
- The absence of a flexible digital credit facility can result in lost merchant growth opportunities, higher operational overhead, weaker repayment visibility, increased default exposure, customer attrition, and reduced competitiveness against digital financial service providers offering faster credit journeys.

4. Business Objectives

- Provide eligible merchants with a simple, transparent digital credit journey.
- Use transaction and business information to support data-driven credit eligibility.
- Reduce manual effort in credit application and repayment monitoring.
- Provide clear visibility of loan status, repayment history, EMI plans, and statements.
- Improve proactive repayment communication and reduce avoidable payment failures.
- Enable Supplier Financing through a reusable credit workflow.
- Create operational dashboards and reports for Finance and Operations teams.
- Generate direct and indirect business value through loan tariffs, stronger merchant retention, and increased transaction activity.

5. Scope

- Loan discovery and eligibility entry point from the merchant application.
- Loan information page showing available loan range and potential tenure.
- Credit analysis / pre-approval and internal credit scoring journey.
- Consent and information-sharing journey with the partner bank.
- Customer information and document collection.
- CPV and eligibility outcome communication.
- Eligible loan amount display and loan amount selection.
- EMI / tenure selection for supported terms.
- Loan fee and repayment breakdown.
- Loan summary, confirmation, password confirmation, and disbursement status.

- Loan dashboard, repayment history, partial/full payment, statements, and completion summary.
- Overdue reminders, default indicators, account-lock communication, and repayment notifications.
- Supplier Financing / Pay Later journey.
- Operations and Finance dashboard, repayment logs, retry tracking, manual override, and reporting.
- SMS and in-app notification flows.

6. Out of Scope / Controlled by External Parties

- Final credit approval policy and credit-risk thresholds where determined by the partner bank.
- Bank-side underwriting models and internal banking systems.
- Final pricing, service fee, interest/tariff policy, and legal terms unless separately approved.
- Core banking or partner-bank infrastructure changes outside the agreed integration scope.

7. Primary Stakeholders & Users

Stakeholder / User	Responsibility / Interest
Merchant / Loan Applicant	Apply for, receive, manage, and repay digital loan.
Business / Product	Own business requirements, journey, value proposition, and prioritization.
Operations	Monitor applications, repayments, failures, exceptions, and customer support.
Finance	Monitor repayment, settlement, reporting, and financial controls.
Risk / Credit	Eligibility, scoring, risk controls, and default management.
Partner Bank	Credit decisioning, approval, disbursement, and banking-side processing.
Engineering / Technology	Application, APIs, integrations, security, data, and platform delivery.
UI/UX	Customer journey, usability, information hierarchy, and interaction design.
QA	Functional, integration, regression, UAT support, and release validation.

8. High-Level Customer Journey

1. Merchant selects “Take Loan” from the application home page.
2. Merchant views the loan information page, including potential amount range and tenure.
3. System checks pre-approval / existing loan status.
4. Existing eligible users can take a new loan or manage previous loans.
5. Non-pre-approved users go through internal credit scoring.
6. Eligible users provide consent to share information with the bank.
7. Merchant completes required personal, financial, business, guarantor, and document information.
8. Application progress is shown while CPV is completed.
9. Eligible users receive the approved loan amount; ineligible users receive a clear outcome and improvement guidance.
10. Merchant selects the required loan amount and supported EMI tenure.
11. System displays loan amount, EMI, tenure, service fee, and summary.
12. Merchant confirms using the required authentication / password step.
13. System processes disbursement and shows success or failure status.
14. Merchant accesses the loan dashboard for repayment and statement management.

9. Functional Requirements

ID	Requirement	Priority
BR-01	Provide a “Take Loan” entry point from the merchant application.	Must

BR-02	Display available / potential loan amount range and supported loan period.	Must
BR-03	Show existing loan status and allow eligible users to manage previous loans.	Must
BR-04	Run or consume internal credit eligibility / scoring results for non-pre-approved users.	Must
BR-05	Show an ineligible state with actionable guidance such as improving transaction frequency and volume.	Must
BR-06	Capture consent before sharing required information with the partner bank.	Must
BR-07	Collect required customer, address, occupation, income, identity, business, signature, trade-license, and guarantor information.	Must
BR-08	Lock already available information while allowing controlled editing where permitted.	Should
BR-09	Display application progress and pending information / verification states.	Must
BR-10	Process CPV outcome and notify the customer of eligibility / ineligibility.	Must
BR-11	Display approved amount and allow customer to select borrowing amount within the approved limit.	Must
BR-12	Support approved repayment tenures including 3, 6, 9, and 12 months, subject to bank configuration.	Must
BR-13	Display EMI, tenure, service fee, and repayment breakdown before confirmation.	Must
BR-14	Provide loan summary and final confirmation before disbursement.	Must
BR-15	Require secure confirmation / authentication before final processing.	Must
BR-16	Display disbursement processing and success status.	Must
BR-17	Provide a loan dashboard showing utilization against the allowed loan amount.	Must
BR-18	Support full and partial repayment through "Pay Now".	Must
BR-19	Display installment plan and completed payment history.	Must
BR-20	Allow downloadable loan statements in PDF format.	Must
BR-21	Show completed-loan summary including paid amount, tenure, and on-time payment rate.	Must
BR-22	Notify users about overdue payments and potential account locking after the defined default period.	Must
BR-23	Provide Supplier Financing through a Pay Later option that reuses the credit workflow.	Must
BR-24	Provide operational repayment logs, failure/retry tracking, and controlled manual override.	Must
BR-25	Generate cohort, repayment-cycle, success-rate, and risk-level reports.	Should

10. Loan Dashboard Requirements

- Display the total approved / allowed loan amount and current utilization.

- Provide Pay Now with full-payment and amount-entry options.
- Display current installment plan and completed installments.
- Show repayment status and overdue days where applicable.
- Provide downloadable statement.
- Provide support / contact option.
- Provide Explore New Offers and Take New Loan options where the user is eligible.
- After successful repayment, show loan completion summary and potential higher-limit eligibility notification where approved by the credit policy.

11. Repayment & Notification Requirements

- Five days before due date: send a soft reminder through SMS and in-app notification.
- One day before due date: send a detailed final reminder.
- On repayment day: provide real-time debit / repayment status.
- Successful repayment: show confirmation and updated loan summary.
- Failed deduction: notify the user to top up the wallet and explain the retry process.
- Repeated failure / late payment: show late-fee or account-block warnings where applicable.
- Default beyond the defined threshold: communicate account-lock status; the source requirement specifies 90 days.
- Notifications may also include approved early-settlement / cost-saving promotional nudges.

12. Supplier Financing Requirements

- Merchant enters the normal supplier payment flow.
- Merchant enters the required payment amount.
- Application presents “Pay Later” as an available payment option when eligible.
- Selecting Pay Later transfers the user into the applicable credit analysis / loan journey.
- The resulting loan should be visible in the same loan management and repayment framework.

13. Administrative & Operational Requirements

- Operations and Finance teams require an internal dashboard.
- The dashboard should provide timestamped repayment logs by customer / loan.
- Auto-failure tracking must show retry status and latest processing outcome.
- Authorized users should have a controlled manual-override mechanism.
- Reports should support repayment performance by cohort, repayment cycle success rate, and risk level.
- Operational users should have role-appropriate access to customer and financial information.

14. Business Rules

- Only eligible / approved users may proceed to disbursement.
- Loan amount cannot exceed the approved credit limit.
- Available repayment tenures depend on partner-bank configuration.
- Required customer and guarantor information must be complete before the application can proceed to the applicable stage.
- Previously available information should be reused where valid and should not require unnecessary re-entry.
- Partial and full repayments must update outstanding balance and payment history.
- Default status must be reflected consistently in customer-facing and operational views.
- Account locking and release rules must follow approved credit / risk policy.
- Any higher loan limit after successful repayment is subject to credit-policy approval.

15. Integrations & Data Dependencies

- Merchant / sManager application.
- Internal credit scoring / eligibility service.
- Partner-bank credit / loan processing services.
- Customer identity and document data.
- CPV / verification process.
- Wallet / payment and debit services.
- SMS notification service.
- In-app notification service.
- Operational reporting / dashboard data source.
- PDF statement generation service.

16. Non-Functional Requirements

- Security: Protect identity, financial, authentication, and loan data using appropriate access controls and secure transmission.
- Auditability: Key loan, repayment, approval, override, and status changes should be traceable with timestamps and responsible users.
- Availability: Customer loan and repayment services should meet the platform's approved availability SLA.
- Performance: Customer-facing screens and status checks should provide responsive experience under expected peak load.
- Reliability: Payment / repayment processing must support safe retry and prevent duplicate financial transactions.
- Privacy: Customer data must only be accessible to authorized roles and used for approved business purposes.
- Scalability: The workflow should support growth in merchant volume, loans, and partner-bank integrations.

17. Acceptance Criteria

- An eligible user can reach the loan journey from the merchant application.
- A pre-approved user can view and manage existing loans and initiate a new loan where permitted.
- A non-pre-approved user receives an eligibility decision and appropriate next step.
- Required information can be collected, validated, reviewed, and submitted.
- CPV outcome changes the application state correctly and triggers the relevant notification.
- Approved loan amount and permitted tenures are displayed correctly.
- Loan amount, EMI, tenure, fee, and summary are calculated and presented before confirmation.
- Successful disbursement creates an accessible loan dashboard.
- Full and partial repayment update outstanding balance and history correctly.
- Statements can be generated and downloaded.
- Overdue and default states trigger the defined notifications and visual indicators.
- Supplier Financing can initiate the applicable credit workflow.
- Operations can monitor repayment events, failures, retries, and approved overrides.

18. KPIs & Success Measures

KPI	Purpose
Loan application completion rate	Measure customer journey effectiveness.
Eligibility-to-disbursement conversion	Measure credit journey conversion.
Average application processing time	Measure operational and customer experience efficiency.
Disbursement success rate	Measure transaction reliability.
On-time repayment rate	Measure portfolio repayment performance.
Repayment success / debit success rate	Measure payment reliability.
Default rate / overdue rate	Measure credit risk performance.
Repeat loan / higher-limit uptake	Measure customer value and retention.
Supplier Financing adoption	Measure additional use of the credit capability.

Customer support contacts per loan	Identify friction and operational issues.
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19. Risks & Mitigations

Risk	Mitigation
Incorrect / incomplete customer data	Validation, reuse of verified information, and controlled editing.
Credit decision delays	Clear application states, integration monitoring, and exception handling.
Repayment failure	Pre-due reminders, retry mechanism, real-time status, and top-up guidance.
Duplicate payment / retry risk	Idempotent transaction handling and reconciliation controls.
Data privacy / unauthorized access	RBAC, secure APIs, audit logs, and least-privilege access.
High default risk	Data-driven scoring, clear eligibility rules, proactive notifications, and risk monitoring.
Partner-bank dependency	Defined API contracts, SLAs, monitoring, escalation, and fallback procedures.

20. Implementation Approach

- Phase 1 – UI/UX and journey design: customer loan marketplace, information pages, application journey, dashboard, notifications, and statements.
- Phase 2 – Integration & engineering: eligibility / scoring, bank integration, CPV, wallet / repayment, notifications, and reporting.
- Phase 3 – QA & controlled rollout: functional, integration, regression, security, UAT, and controlled production release.
- Phase 4 – Post-launch optimization: monitor conversion, repayment, failures, customer feedback, and risk indicators; prioritize enhancements based on data.

21. Business Rationale & Expected Value

- Merchant Growth: Provide working-capital access that can support merchant operations and expansion.
- Risk Management: Use transaction and business data to improve credit assessment and repayment monitoring.
- Customer Retention: Improve loyalty by embedding accessible credit within the existing digital financial ecosystem.
- Operational Efficiency: Reduce manual credit-processing and repayment-monitoring effort.
- Market Positioning: Strengthen the platform's position as a broader digital financial services provider.
- Revenue: Create direct monetization opportunities through approved loan tariffs / service fees and indirect value through increased transaction activity and retention.

22. Dependencies

- Partner-bank approval, APIs, product policy, and operational SLA.
- Credit scoring / eligibility model availability.
- Identity, CPV, document, and customer-data services.
- Wallet and payment infrastructure.
- SMS / notification provider.
- Operations and Finance readiness.
- Legal, compliance, risk, and information-security approval.